

Seoul plans US investment blitz amid Trump pressure

送信者: EG Korea 受信日時: 2026-09-17 05:29

【メール原文】

Parliamentary workaround will enable Korea to announce \$200 billion in US investments in coming days . The investments will utilize public funds and center on constructing gas turbines in Texas, large-scale nuclear reactors in partnership with Westinghouse, and an LNG pipeline project in Alaska. Of these, the gas-fired power generation project is most likely to make tangible progress in the near term. The government will report the proposed investments to the country's National Assembly this week but not seek the legislature's approval, following Seoul's determination that the projects meet the minimum standard of "commercial viability" that avoids a vote in parliament. This will bypass a key obstacle that was hindering progress toward reaching an agreement (see: Tokyo pulling ahead of Seoul on US investments , 30 July 2026).

South Korea

[Customize Email Preferences](#)

Seoul will go big on US investments to placate Washington

16 Sep 2026 16:25 EDT [Discover more on the Portal](#)

*

In a sharp reversal of its previously cautious approach, Korea will likely announce \$200 billion in investments in the US this week, centering on gas turbines in Texas, eight large-scale nuclear reactors, and an LNG pipeline project in Alaska.

*

President Lee Jae-myung is hoping that a massive investment commitment will reduce pressure on South Korea to support US operations in the Strait of Hormuz and secure him a meeting with President Donald Trump at the opening of the UN General Assembly (UNGA).

*

Korean companies see an opportunity to partner with Westinghouse in building nuclear reactors in the US, pending finalization of political and regulatory conditions, while Seoul will seek to limit its involvement in the riskier LNG pipeline project in Alaska.

Parliamentary workaround will enable Korea to announce \$200 billion in US investments in coming days. The investments will utilize public funds and center on constructing gas turbines in Texas, large-scale nuclear reactors in partnership with Westinghouse, and an LNG pipeline project in Alaska. Of these, the gas-fired power generation project is most likely to make tangible progress in the near term. The government will report the proposed investments to the country's National Assembly this week but not seek the legislature's approval, following Seoul's determination that the projects meet the minimum standard of "commercial viability" that avoids a vote in parliament. This will bypass a key obstacle that was hindering progress toward reaching an agreement (see: Tokyo pulling ahead of Seoul on US investments , 30 July 2026).

Political imperatives are driving dramatic shift in Korea's approach to US investments. After months of concerns about the commercial feasibility of initiatives proposed by the Department of Commerce, the lack of project details, and parliamentary authorization of the investments, Seoul appears to have changed tack. The shift coincided with Trump's unexpected announcement in August of a reduction in joint military exercises and criticism of Seoul for not supporting the US militarily in the Middle East (see: Obstacles to Trump-Kim summit likely insurmountable in near term , 3 September 2026).

Trump's August announcement was uncoordinated with Seoul and alarmed Korea's leadership, who worried that announcing an insufficient number of US investments after a lengthy delay in negotiations

would risk further antagonizing Trump. Nevertheless, Korean officials remain skeptical of the commercial and technical viability of the projects, with the nuclear reactors and LNG pipeline projects seen as extremely early stage.

Korean officials hope big investments will please Trump and reduce pressure to send troops to Hormuz. The US president has pressured both South Korea and Japan to accelerate investment announcements ahead of the US midterm elections and grown frustrated over perceived delays in Korea's rollout of its \$350 billion investment-pledge agreement. Korea's announcement will also be timed to precede Lee's visit to the US the week of 21 September for the UNGA meetings, where Seoul aims to secure a bilateral meeting with Trump.

A Trump-Lee meeting at UNGA remains unlikely given ongoing strains in the bilateral relationship. Washington's frustrations with Seoul extend beyond the investment agreement, encompassing the Korean government's perceived discrimination against US e-commerce company Coupang and a lack of support for US efforts to reopen the Strait of Hormuz (see: *Bilateral tensions will slow progress on nuclear submarine deal*, 30 April 2026). However, Trump is slated to meet with Japanese Prime Minister Takaichi Sanae, following Tokyo's announcement of two rounds of US investments in February and March, and a turnaround in Korea's image is not implausible.

Seoul also wants to avoid sending military support to reopen the Strait of Hormuz. Korea has begun preparing for a potential deployment of noncombatant military assets to the region, including patrol planes, logistics ships, and explosive ordnance disposal units. Seoul has conducted quiet outreach to Iran and the UAE, while US and Korean officials are holding a biannual defense dialogue this week. Lee will seek to limit Korea's involvement—he is especially reluctant to send servicemembers into harm's way—and will likely delay a decision, betting that the investment announcement reduces Trump's pressure on Seoul to support the US militarily.

Korea sees opportunity to build US nuclear reactors, although key details will require more negotiation. While Japan remains reluctant to sign onto large-scale nuclear reactor projects in the US, Korean companies including KEPCO, KHNP, Doosan Enerbility, and Hyundai E&C see commercial opportunity in pursuing US-based projects if political conditions permit. A headline announcement of multiple reactors will still require significant follow-up before any projects break ground. Korean engineering, procurement, and construction companies could provide lucrative services that the US lacks and improve the project economics of US-based construction.

Korea also has ambitions to export nuclear reactors to third countries, where it has run into competition with Westinghouse in the past. Seoul hopes that securing an agreement to construct at least two reactors in the US using Korea's APR1400 design would boost overseas uptake of its reactor design and ease commercial tensions with Westinghouse, potentially including through an equity stake.

Korea will use the \$200 billion investment cap to limit its exposure to the Alaska LNG pipeline project. Under its framework agreement, Korea committed to investing \$150 billion in shipbuilding projects and no more than \$200 billion across all other sectors, with a \$20 billion cap on annual transfers. Korea is betting that the \$200 billion cap will reduce the risk of potential cost overruns, especially in the LNG pipeline project, where Korea's role remains unclear and project financing details are scarce. Seoul also quietly hopes that its broader investment commitments could end under the next US president or long before it reaches the \$200 billion threshold, including if follow-up discussions on the details of nuclear projects do not make necessary progress.

Jeremy Chan
Senior Analyst, China & Northeast Asia
chan@eurasiagroup.net
Herbert Crowther
Senior Analyst, Energy & Resources
+1 435.625.7886
crowther@eurasiagroup.net
EG Korea
korea@eurasiagroup.net
EG United States
unitedstates@eurasiagroup.net
EG Energy, Climate & Resources
ecr@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-HG-DocID cmu4jffohqqub07lq27jvwcnh

[Opt Out](#) | [Customize Email Preferences](#)